

## MODULE 4: HENRY FAYOL'S CONTRIBUTION

### HENRY FAYOL'S CONTRIBUTION TO MANAGEMENT

#### Introduction to Fayol and his work

Henri Fayol (29, July 1841– 19, November 1925) was a French mining engineer who turned a leading industrialist and successful manager. He was a mining engineer in a French mining and rose to the position of the **Chief Managing Director**, who developed independent of the theory of Scientific Management, a general theory of business administration also known as Fayolism. He was one of the most influential contributors to modern concepts of management. **He is father of General Management.**

Fayolism is one of the first comprehensive statements of a general theory of management, developed by Fayol. He has proposed that there are six primary activities of management and 14 principles of management.



Fayol's classification of business activities:

- **Technical activities:** relating to production
- **Commercial activities:** relating to buying, selling or exchange
- **Financial activities:** relating to search for and optimum use of capital
- **Security activities:** relating to protection of the properties and personnel of the enterprises
- **Accounting activities:** relating to a systematic recoding of business transactions, including statistics also
- **Managerial activities:** planning, organization, command, coordination, and control

#### GENERAL PRINCIPLES OF MANAGEMENT

He argued that management was an activity common to all human undertakings in business, in government, and even at home. He also stated 14 principles of management:

1. **Division of Work:** Fayol has advocated division of work to take the advantage of specialization. The worker always works on the same part, the manager concerned always with the same matters; acquire an ability, and accuracy which increase their output. Thus division of work can be applied at all levels of an organization.

2. **Authority and responsibility:** Fayol finds authority as a continuation of official and personal factors. Official authority is derived from the manager's position and personal authority is derived from personal qualities such as intelligence, experience, moral worth, past services etc. Responsibility arises out of assignment of activity.
3. **Discipline:** Discipline is obedience, energy, behaviour, outward mark of respect shown by employees.

*Discipline is of two types:*

- (i) Self imposed discipline: This springs from within the individual and is in the nature of spontaneous response to a skilful leader.
  - (ii) Command Discipline: This stems from a recognized authority and utilizes deterrents to secure compliance with a desired action, which is expressed by established customs, rules and regulation.
4. **Unity of Command:** It means that a person should get orders and instructions from any one superior. Fayol has considered unity of command as an important aspect in managing an organization. If unity of command is violated, authority is undermined, Discipline is in jeopardy, order distributed and stability threatened.
  5. **Unity of Direction:** According to this principle, each group of activities with the same objective must have one head and one plan. Unity of direction is concerned with functioning of the organization in respect of its grouping of activities or planning. Unity of direction provides better coordination among various activities to be undertaken by an organization.
  6. **Subordination of individual to general interest:** Individual interest must be subordinate to general interest when there is conflict between the two. The agreement between the employers and the employees should be fair and there should be constant vigilance and supervision.
  7. **Remuneration of personnel:** Remuneration and methods of payment should be fair and afford the maximum possible satisfaction to employees and employer. Reward for the work done should, as far as possible, give satisfaction to both the employees and the employer. Various systems of payment of wages are not considered of universal applicability, and none of them can be offered as perfect, says Henry Fayol. The importance of non-financial incentives is also stressed by him, which is now accepted as a matter of vital concern to the management.

8. **Centralization:** Fayol refers to the extent to which authority is concentrated or dispersed. Management should centralize the authority to the extent that neither there should be too much concentration of power nor it divides too much. Management should see that maximum results are realized from all the faculties of the personnel. Individual circumstances will determine the degree that will “give the best overall yields”.
9. **Scalar Chain** (Line of Authority): The line of authority from top management to the lowest ranks represents the Scalar Chain. A hierarchy is necessary for unity of direction. But lateral communication is also fundamental, as long as superiors know that such communication is taking place. Scalar chain refers to the number of levels in the hierarchy from the ultimate authority to the lowest level in the organization. It should not be over-stretched and consist of too-many levels.
10. **Order:** Order refers to the arrangement of things and people. In material order, there should be a place for everything and everything should be in its place. In social order, there should be the right man in the right place.
11. **Equity:** Equity is the combination of justice and kindness. Equity in treatment and behavior is liked by everyone and it brings loyalty in the organization. Equity application requires good sense, experience and good nature for soliciting loyalty and devotion from subordinates. Equity ensures cordial relations between the management and the labor. Smooth and successful working of an enterprise depends on healthy industrial relations which are built on enduring basis of justice and fair play. Equity does not exclude either forcefulness or sternness.
12. **Stability of Tenure of Personnel:** Stability of tenure is reasonable security of jobs. Stability of tenure is essential to get an employee accustomed to new work and succeeding in doing it well. Unnecessary turnover is both cause and effect of bad management. Frequent changes should be avoided. Fayol considers that it is much better to have one manager of mediocre quality than a sequence of able managers moving rapidly in and out of the function.
13. **Initiative:** Managers should encourage their employees for taking initiative within the limits of authority and discipline. Initiative increases zeal and energy on the part of human beings. Fayol describes initiative as one of the keenest satisfactions for an intelligent man to experience.

Management should encourage every employee in his field of duties to turn out better work with his maximum versatility. Employees should be welcomed to make any suggestions which should receive proper consideration by the management in formulation of its objectives and plans.

14. ***Espirit de corps***: Espirit de corps denotes “union is strength” and extension of unity of command for establishing team work. Espirit de corps means the spirit of loyalty and devotion which unites the members of a group. It also means regard for the honor of the group to which one belongs. Fayol called for harmonious relations among the personnel of the concern. Harmony among the personnel is the source of strength. Strength, stability, stature and reputation depend on the harmonious relations, subsisting among the personnel.

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### **Caselet2: Principles of Management**

‘F’ limited was engaged in the business of food processing and selling its products under a popular brand. Lately the business was expanding due to good quality and reasonable prices. Also with more people working the market for processed food was increasing. New players were also coming to cash in on the new trend. In order to keep its market share in the short run the company directed its existing workforce to work overtime. But this resulted in many problems. Due to increased pressure of work the efficiency of the workers declined. Sometimes the subordinates had to work for more than one superior resulting in declining efficiency. The divisions that were previously working on one product were also made to work on two or more products. This resulted in a lot of overlapping and wastage. The workers were becoming undisciplined. The spirit of teamwork, which had characterised the company, previously was beginning to wane. Workers were feeling cheated and initiative was declining. The quality of the products was beginning to decline and market share was on the verge of decrease. Actually the company had implemented changes without creating the required infrastructure.

### **Questions**

1. Identify the Principles of Management (out of 14 given by Henry Fayol) that were being violated by the company. Explain these principles in brief.
2. What steps should the company management take in relation to the above principles to restore the company to its past glory?

## **ACTIVITY**

Answer the following short questions

1. How is the Principle of 'Unity of Command' useful to management? Explain briefly.
2. Define scientific management. State any three of its principles.
3. If an organisation does not provide the right place for physical and human resources in an organisation, which principle is violated? What are the consequences of it?
4. Explain any four points regarding significance of Principles of management.
5. Explain the principle of 'Scalar Chain' and gang plank.